in your 20s and by the time you are in your 30s, make it comprehensive.

It should be big enough to cover several months of expenses in case you lose your job or face some other catastrophe. Make a habit of minimising the risk of keeping all your savings in one place, and maximising the rewards of building several different accounts. It's like hiding your savings from yourself so that you are less likely to dip into them.

Do not forget to review and replenish the emergency fund, in case of a change in your financial situation. It is not about having an emergency fund to cover 3 to 6 months of your living expenses; it is about having a comfortable enough cushion in case of unexpected financial events.

HABIT 7

RISK MANAGEMENT AND MITIGATION

You cannot predict too many things with certainty when it comes to finances, but you can be sure that there will always be one thing—risk. Risk lurks behind every decision you make about how, when and where to invest your money, making even financial wizards second-guessing their decisions or running through the numbers one more time. Develop the habit of identifying and knowing about risk, but instead of being fearful of it, learn how to control and mitigate it. (see *Understanding Risks*).

In personal finance, risk management is about helping you make the best decision, limit the amount of emotion in the decision-making process, and helping identify how much risk you are willing to accept given the potential gains.

Understand and appreciate the value of insurance and take advantage of it for your financial interests. Do not take insurance for random reasons or to save tax, do it to ensure peace of mind for your family. Life insurance is not about saving/investing money or saving on taxes, it is a financial back-up. Adequate life insurance can help you achieve financial goals by taking a holistic view of financial situations as you move through life. There are random personal risks you are exposed to every day, such as becoming disabled, a prolonged illness, dying prematurely, or even outliving your resources. These can result in financial hardship without appropriate cover. Make a habit of reviewing your life and health insurance needs regularly as the risks keep changing with age and life stages.

HABIT 8

INVEST REGULARLY

Investing is about placing your money in something that can earn you money over time, thus growing your wealth. But it can be a difficult task, so it is important to develop good investing habits that can help build wealth in the long run and realise your financial goals.

REGARDLESS OF ANY BAD MONEY HABITS YOU HAVE HAD IN THE PAST, NOW IS THE PERFECT TIME TO MAKE CHANGES FOR THE FUTURE

In today's world, it is not enough to just save. Inflation brings down the value of our savings and to maintain it, one has to invest and earn returns that are higher than the cost of inflation. Even idle money in a locker or bank account is an opportunity lost because this money has the potential to earn more income when it is invested in other assets.

Think about investments as a necessary monthly expense for the sake of your future. The best way to be consistent in investing is through a Systematic Investment Plan (SIP) in a mutual fund. Here, you can easily park a fixed sum consistently regardless of the market conditions. In fact, an SIP helps you follow the discipline of investing every month.

HABIT 9

PAY BILLS ON TIME

Late fees are expensive and lead to financial indiscipline. You can avoid delaying payments by setting up a regular schedule for paying bills. Check out your bank's automated bill-pay service. This way, you will never forget a

UNDERSTANDING RISKS

If you observe a toddler, you will see they often fall as they try to stand up. The same happens as they start to walk and then run. The falls eventually stop as they start walking but it doesn't mean they never fall again. Taking financial decisions is similar—the risk of making errors are high when you are a novice. However, with time, you start accepting the existing risks when making financial decisions. Here are some essential financial risks to know in your journey.

↘ INFLATION RISK
If you wait to buy a car until next year, you accept the possibility that the price may increase.

↘ INTEREST RATE RISK
Interest rates can go up or down, which may affect the cost of borrowing, savings or the profits you earn when you invest.

↘ INCOME RISK
You may lose your job due to an unexpected turn in the economy or in your field of work. It may also be due to a health problem, family problems or due to an accident.

↘ PERSONAL RISK
Taking up something like adventure sports at a later age when your body is not up for it is a risk you take on your life.

↘ LIQUIDITY RISK
This risk is the ability to easily convert financial assets into cash without loss in its value. For instance, a house you own could be difficult to convert quickly to cash.